for newer job opportunities and discouraged capital from hiring labour. They encouraged industry to substitute labour jobs with machines wherever possible and allowed. They perpetuated the climate of sickness in industry. These policies and practices cost India dearly by making industry non-competitive. They also contributed to making Indian industry default on loans taken from banks, thus making the banks also sick.

There was some rethinking on this sorry state of affairs after 1991. Schemes of voluntary retirement were put in place in the public sector and were also permitted in the private sector. The National Renewal Fund was set up to pay for the cost of retraining labour. However, by and large, the basic framework of overprotection of labour stayed in place. In the past five years, there have been further reforms undertaken in this area. The system of fixed-term contract appointments, initiated for a few industries in 2016, has been extended to all enterprises. This allows industry to hire skilled labour for the period it requires. In the recent process of consolidation of labour laws, more liberalization has been given to industry to close enterprises employing less than 300 workers. IBC permits the resolution and liquidation of companies unhindered by the issue of labour.

India Prefers Risk-Free Debt to Risk-Capital Equity

India was a low-income, low-savings country at the time of Independence. Low savings meant low investment, both in debt and equity, hurting the chance of ramping up growth rapidly. The decision to discourage foreign investment further hurt capital creation. Low savings also meant low intermediation by the banks and low credit creation as the credit multiplier worked on a smaller deposit base. In a nutshell, India faced the vicious circle of low income, low savings, low investment and low growth.

This inherently sad state of affairs was further complicated by the government pursuing policies of transforming the country’s savings into debt, not equity. As explained earlier in the book, there was no difference in